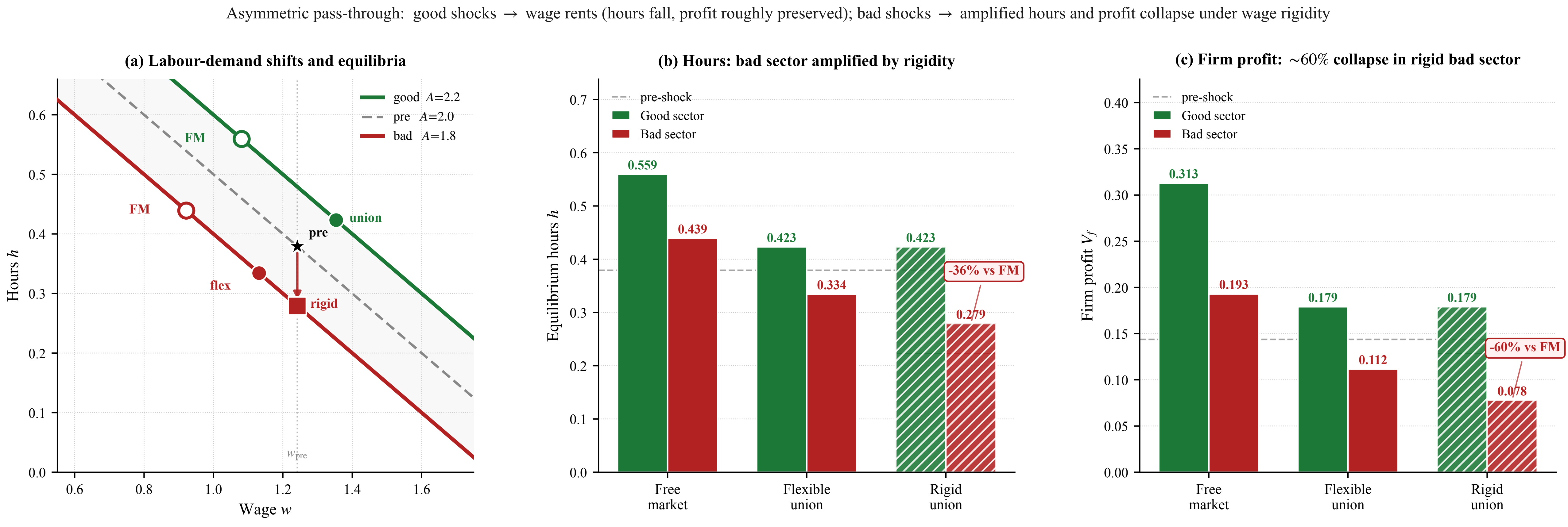

Asymmetric pass-through: good shocks → wage rents (hours fall, profit roughly preserved); bad shocks → amplified hours and profit collapse under wage rigidity
(a) Labour-demand shifts and equilibria
good A=2.2
pre A=2.0
bad A=1.8
FM
FM
union
pre
flex
rigid
w_pre
Hours h
Wage w
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0.6
0.8
1.0
1.2
1.4
1.6
(b) Hours: bad sector amplified by rigidity
pre-shock
Good sector
Bad sector
Equilibrium hours h
0.559
0.439
0.423
0.334
0.423
0.279
-36% vs FM
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0.7
Free market
Flexible union
Rigid union
(c) Firm profit: ~60% collapse in rigid bad sector
pre-shock
Good sector
Bad sector
Firm profit V_f
0.313
0.193
0.179
0.112
0.179
0.078
-60% vs FM
0.00
0.05
0.10
0.15
0.20
0.25
0.30
0.35
0.40
Free market
Flexible union
Rigid union